



Birla Institute of Technology & Science, Pilani

Pilani | Dubai | Goa | Hyderabad

ACADEMIC— UNDER GRADUATE STUDIES DIVISION

First Semester 2026-27 Course Handout Part II

Date: 1st August 2026

In addition to part I (General Handout for all courses appended to the Time table), this portion gives further specific details regarding the course.

Course No.	:	ECON F313
Course Title	:	ISSUES IN ECONOMIC DEVELOPMENT
Instructor-In-Charge	:	Prof. BALAKRUSHNA PADHI
Instructor	:	Prof. Balakrushna Padhi
Tutorial/Practical Instructors	:	Prof. Balakrushna Padhi

1. Course Description:

This course provides a comprehensive and contemporary examination of the major issues, challenges, and policy debates in economic development by integrating theoretical perspectives, empirical evidence, and real-world applications. It views development as a multidimensional process that extends beyond economic growth to encompass structural transformation, human development, institutional quality, technological progress, environmental sustainability, and social inclusion. The course explores why countries experience divergent development trajectories and examines the roles of markets, governments, institutions, globalization, and technological change in shaping long-run development outcomes. Drawing upon classical and contemporary development theories, with particular emphasis on India and other developing economies, the course examines a broad range of development issues, including poverty, inequality, unemployment, population dynamics, demographic transition, migration, urbanization, education, health, agriculture, industrialization, infrastructure, financial inclusion, foreign investment, governance, environmental degradation, climate change, artificial intelligence and development, digital transformation, and the Sustainable Development Goals (SDGs). Through analytical frameworks, empirical evidence, policy debates, and case studies, students will develop the ability to critically examine development challenges, interpret development indicators, and evaluate alternative policy interventions for achieving sustainable, inclusive, and equitable development.

2. Scope and Objective:

The primary objective of this course is to equip students with a rigorous understanding of the theoretical, empirical, and policy dimensions of economic development while fostering the analytical skills required to evaluate contemporary development challenges. The course enables students to understand the economic, social, institutional, technological, and environmental factors that influence development outcomes across countries and regions. It emphasizes the interrelationships among economic growth, structural transformation, employment generation, poverty reduction, income distribution, human capital formation, institutional development, and environmental sustainability. Students will critically examine competing development theories and policy paradigms, evaluate the effectiveness of development strategies adopted by different countries, and analyze the role of public policy in promoting inclusive and sustainable development. The course also introduces emerging issues that are reshaping development discourse, including artificial intelligence and development, digital transformation, climate resilience, financial inclusion, gender equality, governance, and the Sustainable Development Goals (SDGs). Equal emphasis is placed on developing students' analytical, quantitative, and research competencies through the interpretation of development indicators, evaluation of empirical evidence, policy analysis, and application of contemporary development concepts to real-world economic issues. By the end of the course, students will be equipped to critically assess development policies and contribute to evidence-based decision-making in both academic and policy contexts.



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3. Course learning outcomes:

Upon successful completion of this course, students will be able to:

CLO1. Explain and critically evaluate the major theories, concepts, and contemporary issues in development economics, including economic growth, structural transformation, poverty, inequality, employment, human development, institutional change, globalization, environmental sustainability, and emerging issues such as artificial intelligence and digital transformation.

CLO2. Apply appropriate analytical, quantitative, and empirical tools to interpret development indicators, assess the effectiveness of development policies and programmes, and evaluate alternative strategies for promoting sustainable, inclusive, and equitable economic development at national and international levels.

CLO3. Critically analyze contemporary development challenges using theoretical and empirical evidence, formulate evidence-based policy recommendations, and undertake independent research on key issues affecting developing economies, with particular reference to India and other emerging economies.

4.1 Textbook:

1. **TB1** – Todaro, M. P., & Smith, S. C. (2017). [Economic development](#) (12th ed.). Pearson India.

4.2 Reference Book:

2. **RB1** – Thirlwall, A.P., Economics of Development, Palgrave Macmillan, 9th Edition, Reprinted in 2018.
3. **RB2** – Debraj Ray. Development Economics. Princeton University Press, 1998
4. **RB3**- Meier & Rauch (2012): Leading Issues in Economic Development, 8/e, Oxford University Press.
5. **RB4**- Abhijit V. Banerjee, Roland Benabou, and Dilip Mookherjee, editors. Understanding Poverty. Oxford, 2006
6. **RB5**- Nissanke, M., & Ocampo, J. A. (Eds.). (2019). The Palgrave Handbook of Development Economics: Critical reflections on globalization and development. Palgrave Macmillan.
7. **RB6**- Acemoglu, D. & Robinson, J. (2012). *Why Nations Fail*. Crown Publishing.
8. **RB7**- Banerjee, A., & Duflo, E. (2011). *Poor Economics*. Public Affairs.
9. **RB8**- Sen, K. (2023). Varieties of structural transformation: Patterns, determinants, and consequences. Cambridge University Press.
10. *Other readings will be provided separately*

5. Course Format & Weekly Workflow

The course will be delivered through a combination of interactive lectures, classroom discussions, case studies, and problem-solving sessions using various statistical tools. Lectures will integrate theoretical concepts with empirical evidence and contemporary policy debates, emphasizing real-world development issues. Students will engage with academic readings, policy reports, data-driven exercises, and case studies to strengthen their analytical, critical-thinking, and policy-evaluation skills. Active participation in discussions and learning activities is encouraged. The detailed week-by-week schedule is provided in the Course Plan section. The course will use NALANDA, a learning management system (LMS), to display course information, including lecture slides/notes, practice sheets, solution materials, and other related materials. All notices will also be published on NALANDA.



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6. Course Plan

Wk no.	Module No.	Description Lecture Session	Reference TB/RB	Learning outcomes
1	1. Foundations of Development Economics (Lecture-1-2)	L1.1. Course Introduction: Defining Development Economics: Scope and Nature L1.2. Some Critical Questions for the Study of Development Economics: How Countries Are Classified by Their Average Levels of Development; World Atlas Method: The Sustainable Development Goals: A Shared Development Mission	Chapter 1 (TB1, RB1) Introductory PPT and class notes	Understanding of course contents and their significance
2	2. The History and Evolution of the Development Doctrine, 1950–2020 (Lecture-3-4)	L2.1. Understand how ideas, models, and institutions evolved from the 1950s to 2020, related to Development Economics L2.2. Development objectives and the underlying concept of development: Dominant theories, models, and analytical tools; Quality and scope of data and statistics	Chapter 3 (RB5)	Evolution in Theoretical Frameworks of development economics, theories from early growth models to structuralist, neoclassical, and later poverty-oriented and sustainability frameworks.
3	3. Comparative Economic Development: Concepts and Measurement; Overview of the course (Lecture-5-9)	L3.1: Conceptualizing Development Economics; Development beyond GDP; Capabilities Approach; Measurement and application of HDI L3.2: IHDI & PHDI measures of human development L3.3-4: Gender & Economic Development, GDI, GII measures of gender development L3.5: Human Development Indices and Indicators: A Critical Evaluation	Chapter 2 (TB1, RB1) & Class notes	Understanding the nature and meaning of economic development/underdevelopment, differences between economic growth and development, both in general, and as applied to people in specific developing countries
4-6	4. Theories and Models of Economic Growth and Development (Lecture-10-18)	L4.1-2: Classical Theories of Economic Development: Development as Growth and the Linear-Stages Theories L4.3-4: Structural Change Model; Theoretical and empirical analysis L4.6-7. Michael Kremer's O-Ring Theory of Economic Development: Implications of the O-Ring Theory; The Hausmann-Rodrik-Velasco Growth Diagnostics Framework L4.8-10: Convergence hypothesis and growth diagnostics; Beta and Sigma convergence dynamics L4.11: Role of institutions in economic development	Chapter 3-4 (TB1), RB15, & RB2 (Chapter-3) and Class notes	Discuss competing theories of economic development; demonstrate a deep analytical understanding of contemporary economic development issues by analyzing structural change and economic development. Access and analyze economic growth and development data relevant to contemporary debates in international economic development.
7-8	5. Poverty, Inequality, and Development: Issues and Debates in the	L5.1-2: What Is Poverty and Why Measure It? Estimating Poverty Lines: Estimation of FGT Index: Debates on the Measurement of Global Poverty	Chapter 5 (TB1) and Class notes, large-scale cross-	An understanding of the concepts and measures of poverty and inequality, highlighting their critical role in economic development. It



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Wk no.	Module No.	Description Lecture Session	Reference TB/RB	Learning outcomes
	measurement of poverty and inequality (Lecture-19-24)	L5.3. Multidimensional Poverty (MPI)-Concept and Measurement, and debates L5.4-5: What is Inequality and Why is it a major concern? Estimation of inequality and understanding its axioms: Lorenz Curves, Gini Coefficients, and Aggregate Measures of Inequality-discussion and debates L5.6: Poverty, Inequality, Development, and Social Welfare	sectional data analysis	familiarizes readers with key tools such as size distributions, Lorenz curves, Gini coefficients, and poverty-related issues and measures.
9-11	6. Factors and Issues in the Development Process (Lecture-25-32)	L6.1-2: Population Growth and Economic Development: Causes, Consequences, and Controversies Development; Policy Approaches L6.3-4: Human Capital-Concept and Forms; Key concepts in the labour market dynamics; Educational Systems, and Health Systems and Development L6.7-8: Urbanization-Trends, living conditions, and the concept of agglomeration L.6.9-10: Rural-Urban Migration: Theory and Policy	Chapter 11 RB1 & Chapter 6, 7 (TB1) and Class notes, large-scale cross-sectional data analysis	An understanding of the impact of population growth, human capital, and gender disparities on economic development. The lectures cover key concepts such as the role of education and health systems. Learners gain insights into urbanisation, rural–urban migration, and policy approaches, along with the use of gender indices to assess gender equality and its implications for development.
12	7. Dualism, center-periphery models, and the process of cumulative causation (Lecture-33-36)	L7.1: Dualism and the process of cumulative causation in economic development L7.2: International inequality and the center-periphery model (Prebisch Model); The new Economic Geography model L7.3-4: Theories of dependence and unequal exchange; The Neocolonial Dependence Model; The False-Paradigm Model; The Dualistic-Development Thesis; Kaldor model of regional growth differences	Chapter 3 (TB1) Chapter 21 (RB7) and Class notes	An understanding of global inequality and underdevelopment through concepts like dualism, center-periphery dynamics, and dependency theories, including the Neocolonial Dependence and False-Paradigm models.
13	8. Environment and Development (Lecture-37-39)	L8.1-2: Environment and Development; A model of the environment and economic activity; Estimation of Green GDP L.8.3: The market-based approach to environmental analysis: Policy Options in Developed and Developing Countries.	Chapter 10 (TB1) and Class notes	Understanding of the role of the environment and economic development
14	9. AI & Development debate (Lecture-40-41)	L9.1-2: Artificial Intelligence for Development	WDR, 2026 and Class notes	Decoding AI for Development: Assessing AI's Implications for Development



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7. Evaluation Scheme:

Components	Weightage (%)	Max. Marks (Out of 200)	Duration (minutes)	Tentative Dates*	Nature of Component
Mid-Semester Test	30%	60	90	06-10-2026	CB
Comprehensive Exam.	40%	80	180	05-12-2026	CB/OB
Class participation/attendance; Homework/ Assignments	10%	20	---	23-11-2026	OB
Tut Test 1	10%	20	30	24-09-2026	CB
Tut Test 2	10%	20	30	12-11-2026	CB
Tut Test 3	10%	20	30	19-11-2026	CB

Best two quizzes out of three would be considered for the final evaluation. All quizzes are announced.
* Quiz Dates are tentative and subject to change as per the circumstances. In case of any change, notice will be published in advance.

Criterion for NC / Minimum passing marks criterion / Minimum performance requirement for a valid grade:

A student should obtain 30 % of the average of the top few performers in the class, or 40% of the median marks of the class, whichever is lower, to clear the course.

8. Attendance Policy:

Each student is expected to attend all classes and participate in all evaluation components. Class discussions will be highly beneficial for better learning and higher scores. The AUGSD's attendance policy will be strictly followed.

9. Chamber Consultation Hour: Friday-04.00-04.50 PM

Students can approach the Instructor-in-charge at any time via email (balakrushna.padhi@pilani.bits-pilani.ac.in). Their queries will be answered via email/chamber consultation, depending on the level of the query.

10. Make-up Policy:

Makeup for the mid-semester exam and comprehensive examination shall be granted only in genuine cases (accompanied by proof), as per the academic regulations, after a thorough examination of the makeup application. Only requests submitted before or within 2 days of the exam will be considered for a thorough review. Please do not make requests after the application period is over. Also, no makeup requests will be considered for the quizzes. Please note: out of the three tutorial tests (quizzes), the best 2 will be considered for the final evaluation.

11. Notices:

For course-related announcements, please check your email/NALANDA regularly. All the information will also be communicated during the class. For course-related announcements, please check your email regularly.

12. Note (if any):

Evaluative components will be conducted during the specified hours. Changes, if any, will be communicated well in advance. Please quote your ID number and name before requesting anything related to the course. Students must write correct ID numbers in all the evaluative components, failing which their answer sheets will not be evaluated.

Instructor-in-charge
ECON F313